



CHAPTER clxv.

An Act to consolidate and convert the capital of the Brixham Gas Company to authorise the Company to raise additional capital to change the name of the Company and for other purposes. A.D. 1930.
[1st August 1930.]

WHEREAS by the Brixham Gas Act 1904 (in this Act called "the Act of 1904") the Brixham Gas Light Company (Limited) were dissolved and the shareholders of that company were incorporated as the Brixham Gas Company (in this Act called "the Company") and the Company were authorised to manufacture and supply gas within the urban district of Brixham in the county of Devon :

And whereas by the Brixham Gas and Electricity Act 1906 (in this Act called "the Act of 1906") the limits of the Company for the supply of gas were extended so as to include the parish of Churston Ferrers and the Company were authorised to construct an electrical generating station on the lands described in the schedule to the Act of 1904 and the First Schedule to the Act of 1906 or on any part of such lands and to supply electricity within their limits for the supply of gas and to raise additional capital :

And whereas the generating station was constructed on lands acquired by the Company adjoining the lands described in the schedule to the Act of 1904 and the

A.D. 1930. First Schedule to the Act of 1906 but otherwise in accordance with the provisions of such last-mentioned Act :

And whereas further powers were conferred upon the Company by the Brixham Gas and Electricity Act 1918 (in this Act called "the Act of 1918") :

And whereas the authorised and paid-up capital of the Company respectively are as follows :—

Act of Parliament authorising capital.	Description of share.	Standard dividend per cent.	Total paid up.	Premium received.	Remaining to be issued.	Total authorised.
			£	£ s. d.	£	£
Act of 1904.	Original shares	10	6,000	—	—	6,000
	Additional ordinary " A " shares.	7	3,940	60 0 0	—	14,000
	Preference shares	6	9,770	230 0 0		
Act of 1906.	Preference shares	6	9,060	152 12 0	—	20,000
	Additional ordinary " A " shares.	7	10,170	617 8 0		
Act of 1918.	Additional ordinary " B " shares.	7	2,056	—	4,518	8,000
	Additional preference shares.	6	1,426	—		

And whereas by the Act of 1918 the Company were authorised to borrow on mortgage a sum equal to one-half of their paid-up capital and they have borrowed on mortgage and now owe the sum of ten thousand two hundred pounds :

And whereas it is expedient that the provisions hereinafter contained in reference to the consolidation and conversion of the capital of the Company should be enacted :

And whereas with a view to encourage investments of small amounts in the capital of the Company by their employees and consumers it is expedient that provisions in that behalf be enacted as hereinafter contained :

And whereas the demand for gas and electricity within the Company's present limits of supply has

increased and is increasing and it is expedient in order to meet such demand that the Company should be authorised to raise additional capital : A.D. 1930.
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And whereas it is expedient that the area for the supply of electricity by the Company should be extended as in this Act provided :

And whereas it is expedient to change the name of the Company :

And whereas it is expedient that the further powers in this Act contained should be conferred upon the Company :

And whereas the objects aforesaid cannot be attained without the authority of Parliament :

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows :—

1. This Act is divided into Parts as follows :—

Part I.—Preliminary.

Part II.—Consolidation and conversion of capital.

Part III.—Financial.

Part IV.—Electricity.

Part V.—Miscellaneous.

Division of Act into Parts.

PART I.

PRELIMINARY.

2. This Act may be cited as the Brixham Gas and Electricity Act 1930 and the Brixham Gas Act 1904 the Brixham Gas and Electricity Act 1906 the Brixham Gas and Electricity Act 1918 the Brixham Gas (Charges) Order 1922 and this Act may be cited together as the Brixham Gas and Electricity Acts and Order 1904 to 1930. Short and collective titles.

3. This Act shall be deemed to be a special Act within the meaning of the Electricity (Supply) Acts 1882 to 1928 and the Electric Lighting (Clauses) Act 1899 so far as the provisions of those Acts are applicable to or incorporated with this Act. Application of Electric Lighting Acts.

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Incorporation of Acts.

4. The following Acts and parts of Acts (so far as the same are applicable for the purposes and are not inconsistent with the provisions of the Brixham Gas and Electricity Acts 1904 to 1930) are hereby incorporated with this Act (namely):—

The Companies Clauses Consolidation Act 1845 (except the provisions relating to the conversion of borrowed money into capital) Part I (relating to the cancellation and surrender of shares) Part II (relating to additional capital) Part III (relating to debenture stock) and Part IV (change of name) of the Companies Clauses Act 1863 as amended by subsequent Acts;

The provisions of the schedule to the Electric Lighting (Clauses) Act 1899 (except sections 5 and 23 thereof).

Interpretation.

5. In this Act unless there be something in the subject or context repugnant to such construction the several words and expressions to which meanings are assigned by the Acts wholly or partially incorporated herewith have the same respective meanings And—

“The Company” means the Brixham Gas Company;

“The undertaking” means the gas undertaking and the electricity undertaking of the Company;

“The Act of 1904” means the Brixham Gas Act 1904;

“The Act of 1906” means the Brixham Gas and Electricity Act 1906;

“The Act of 1918” means the Brixham Gas and Electricity Act 1918;

“The directors” means the directors of the Company;

“The prescribed date” means the first day of January one thousand nine hundred and thirty-one;

“The existing area of supply” means the area within which the Company are by the Act of 1906 authorised to supply electricity;

“The limits of supply” means the limits within which the Company are from time to time authorised to supply gas or electricity.

6. From and after the passing of this Act the name of the Company shall be changed to the Brixham Gas and Electricity Company and by that name the Company shall have a common seal.

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Change of name of Company.

PART II.

CONSOLIDATION AND CONVERSION OF CAPITAL.

7.—(1) On the prescribed date all the paid-up original and additional ordinary capital of the Company shall by virtue of this Act be consolidated and converted into ordinary shares of the nominal value of one pound each entitled to a standard rate of dividend of five pounds per centum per annum according to the following scales (that is to say):—

Consolidation and conversion of ordinary capital.

Six hundred original ordinary shares of ten pounds each with a dividend of ten per centum per annum into twelve thousand ordinary shares of one pound each;

One thousand four hundred and eleven additional ordinary "A" shares of ten pounds each with a dividend of seven per centum per annum into nineteen thousand seven hundred and fifty-four ordinary shares of one pound each;

Two thousand and fifty-six additional ordinary "B" shares of one pound each with a dividend of seven per centum per annum into two thousand eight hundred and seventy-eight ordinary shares of one pound each.

(2) On the prescribed date there shall be created by virtue of this Act such nominal amount of ordinary shares as shall be necessary for the purpose of carrying into effect the conversion provided for by this section and such converted ordinary shares shall be divided among and vested in the several persons who on the prescribed date are registered in the books of the Company as holders of the original and additional ordinary shares of the Company in proportion to the amount of such shares held by them respectively.

8.—(1) On the prescribed date the one thousand eight hundred and eighty-three preference shares of ten pounds each (known as "C" preference shares) entitled to a dividend of five pounds per centum per

Consolidation and conversion of preference capital.

A.D. 1930. annum all of which have been issued and are fully paid up shall by virtue of this Act be consolidated and converted into eighteen thousand eight hundred and thirty preference shares of the nominal value of one pound each bearing a fixed preference dividend of five pounds per centum per annum.

(2) On the prescribed date there shall be created by virtue of this Act such nominal amount of preference shares as shall be necessary for the purpose of carrying into effect the conversion provided for by this section and such converted preference shares shall be divided among and vested in the several persons who on the prescribed date are registered in the books of the Company as holders of existing "C" preference shares in proportion to the amount of such shares held by them respectively.

As to
fractional
parts of
shares.

9. In every case where under the foregoing provisions of this Act a holder of existing additional ordinary "B" shares of the Company would be entitled to be registered as the holder of any fractional part of an ordinary share the Company in lieu of registering such holder and issuing to him a certificate as holder of any fractional part of an ordinary share shall pay to such holder in cash the value of such fractional part and shall register such holder and issue to him a certificate of the amount of ordinary shares to which he shall be entitled as aforesaid excluding such fractional part and the receipt of such holder or in the case of joint holders of that one of them whose name stands first in the register for the sum so paid in cash as aforesaid shall be a sufficient discharge to the Company in respect of such fractional part. The Company may either cancel all or any shares in lieu of which cash is so paid or issue the same to any willing purchaser thereof in amounts of not less than one pound and any loss or expense which may be incurred in connection with such issue shall be borne by the Company.

Trustees to
accept sub-
stituted
shares.

10. All ordinary shares and preference shares so created and vested under or by virtue of this Act shall be deemed to be fully paid up and all such shares shall subject to the provisions of this Act be held in and with the same rights on the same trusts and be subject and liable to the same powers provisions declarations agreements charges liens incumbrances and liabilities as

immediately before the date of conversion affected or attached to the existing capital of the Company in respect of which the shares so created are so vested and shall be dealt with applied and disposed of accordingly and so as to give effect to and not revoke any agreement deed or other instrument or any testamentary disposition disposing of or affecting any such existing capital and every such agreement deed or other instrument or testamentary disposition shall take effect with reference to the whole or a proportionate part as the case may be of the shares so created and substituted for such existing capital and trustees executors or administrators and all other holders in any representative or fiduciary capacity of any such existing capital of the Company are hereby expressly authorised and required to accept any shares allotted to and vested in them pursuant to the provisions of this Act and any sum paid to them in cash under the provisions of this Act and to hold dispose of or otherwise deal with the same as they might have held disposed of or otherwise dealt with the existing capital for which such shares created by this Act are substituted and are hereby indemnified in respect of all acts bona fide done by them in pursuance of the provisions of this Act.

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11. The Company shall call in and cancel the certificates of the existing capital of the Company for which shares created by this Act are substituted as aforesaid and issue in lieu thereof certificates of the shares to which the holders of such existing capital are by this Act respectively entitled but no holder of any such existing capital shall be entitled to any such certificate of proprietorship under this Act until he shall have delivered up to the Company to be cancelled the certificate of proprietorship of such existing capital or shall have proved to the reasonable satisfaction of the directors the loss or destruction thereof but if any holder of any such existing capital of the Company neglect or omit to send or deliver to the Company his certificate or certificates thereof for the period of one year after notice in writing sent by post to the address of such holder appearing in the shareholders' address book of the Company the Company may retain any dividend or interest declared or payable upon or in respect of the shares substituted under the provisions of this Act for

Exchange of
certificates.

A.D. 1930. — the existing capital so held by him until such certificate or certificates is or are sent or delivered to the Company or is or are proved to the reasonable satisfaction of the directors to have been lost or destroyed and an indemnity is given against any claim in respect of such lost or destroyed certificate or certificates to the satisfaction of the directors.

Transfers of existing ordinary and preference shares to operate as transfers of converted ordinary and preference shares.

12. All transfers or other dispositions of any existing ordinary shares or preference shares shall after the prescribed date and notwithstanding this Act be valid and have due effect given to them respectively as transfers or dispositions of—

(a) the respective amounts (being in each case a multiple of one pound) of ordinary shares or preference shares which represent the ordinary shares or preference shares thereby expressed to be transferred or disposed of and are substituted for the same under the provisions of this Act; or

(b) ordinary shares or preference shares to the amount of the multiple of one pound next below the amount of ordinary shares or preference shares which but for the provisions of the section of this Act of which the marginal note is, "As to fractional parts of shares" would have represented the existing ordinary shares or preference shares transferred or disposed of by such transfer or disposition as aforesaid and a sum in cash equal to the market value of any fractional part of one pound of ordinary shares or preference shares;

although the instrument transferring or disposing thereof shall describe the same by the name or denomination which the ordinary shares or preference shares transferred or disposed of had before that date and the bequest of or any covenant or provision of any deed or agreement relating to any specific amount of any of the existing ordinary shares or preference shares shall be held to apply to an amount of ordinary shares or preference shares equal to that into which such specific amount of shares shall have been converted or which shall be substituted for the same under the provisions of this Act.

13. The powers of the Company remaining unexercised at the prescribed date of raising money by the creation and issue either in whole or in part of new ordinary shares or stock or new preference shares or stock may be exercised by the Company at any time after that date by the creation and issue subject to the provisions of this Act of additional amounts of ordinary shares or preference shares of the nominal value of one pound each.

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As to
unexercised
powers of
raising
capital.

PART III.

FINANCIAL.

14. The Company may from time to time raise additional capital not exceeding in the whole twenty thousand pounds by the creation and issue of new ordinary shares or stock or new preference shares or stock or wholly or partially by one or more of those modes respectively. Provided that it shall not be lawful for the Company to create and issue under the powers of this Act any greater nominal amount of capital than shall be sufficient to produce including any premium which may be obtained on the sale thereof the sum of twenty thousand pounds.

Power to
Company to
raise
additional
capital.

15. The additional capital created by the Company under this Act shall form part of the general capital of the Company and save as is otherwise by this Act provided the holders thereof respectively in proportion to the amount of their shares or stock shall be entitled and subject to the like rights of voting and any other rights qualifications privileges provisions and liabilities as other holders of shares or stock of the Company of the same class or description.

Additional
capital to
be part of
general
capital.

16.—(1) Before the prescribed date the Company shall not issue any further capital whether authorised under the powers of this Act or under the powers of any Act passed prior to the passing of this Act and before that date the dividends payable on the paid-up original and additional ordinary capital of the Company shall be those prescribed by the Acts of 1904 1906 and 1918 as modified by the Brixham Gas (Charges) Order 1922.

Profits of
Company
limited.

(2) After the prescribed date the Company shall not except as provided by the section of this Act of which the marginal note is "Dividend dependent on price of

A.D. 1930. — gas” in any year pay out of their profits any larger dividend on their capital (including the ordinary shares into which the existing capital of the Company is by this Act converted their existing preference capital the capital referred to in the section of this Act of which the marginal note is “As to unexercised powers of raising capital” and the additional capital to be raised under the powers of this Act) than five pounds in respect of every one hundred pounds actually paid up of such capital as may have been or shall be issued as ordinary capital and six pounds in respect of every one hundred pounds actually paid up of such capital as may have been or shall be issued as preference capital.

Dividend
dependent
on price of
gas.

17. After the prescribed date the Company may increase or reduce the price charged by them for gas above or below the standard price for the time being prescribed under section 1 of the Gas Regulation Act 1920 subject to a reduction or increase in the dividend payable on their ordinary capital as follows:—

In respect of any half-year during any part of which the price charged by the Company shall have been above the standard price the dividend payable by the Company shall not exceed a dividend at a rate per centum per annum less than the standard rate of dividend by two shillings and sixpence on every one hundred pounds of ordinary capital in respect of each one-fifth of a penny or part thereof by which the highest price charged by the Company in that half-year exceeds the standard price;

And in respect of any half-year during the whole of which the price charged by the Company shall have been below the standard price the dividend payable by the Company may be a dividend at a rate per centum per annum exceeding the standard rate of dividend by two shillings and sixpence on every one hundred pounds of ordinary capital in respect of each one-fifth of a penny by which the highest price charged by the Company in that half-year is below the standard price.

Amendment
of section 36
of Act of
1906.

18. After the prescribed date section 36 of the Act of 1906 shall be read and have effect as if the words “the ordinary capital of the Company in accordance

“ with the provisions of the section of the Brixham Gas and Electricity Act 1930 of which the marginal note is “ ‘Dividend dependent on price of gas’ ” were substituted for the words “ their additional ordinary capital issued under the Act of 1904 and this Act in accordance with the provisions of section 55 of the Act of 1904.”

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19. Except as otherwise expressly provided by the resolution creating the same no person shall be entitled to vote in respect of any new shares or stock to which a preferential dividend shall be assigned.

Resolutions
as to votes
in respect of
preference
shares or
stock.

20.—(1) All shares or stock issued under the powers of this Act (other than capital issued under the sections of this Act of which the respective marginal notes are “ Consolidation and conversion of ordinary capital ” and “ Consolidation and conversion of preference capital ”) or under the powers of the Act of 1918 shall be issued in accordance with the provisions of this section subject to the provisions of this Act as to small investors.

New shares
or stock to
be sold by
auction or
tender.

(2) All shares or stock so to be issued shall be offered for sale by public auction or tender in such manner at such times and subject to such conditions of sale as the directors shall from time to time determine Provided as follows :—

(a) Notice of the intended sale shall be given in writing to the clerk to the district council of every district wholly or partly within the limits of supply and to the secretary of the London Stock Exchange at least fourteen days before the day of auction or the last day for the reception of tenders as the case may be and shall also be duly advertised once in each of two consecutive weeks in one or more local newspapers circulating within the limits of supply ;

(b) A reserve price shall be fixed and notice thereof shall be sent by the Company in a sealed letter to be received by the Board of Trade not less than twenty-four hours before but not to be opened till after the day of auction or last day for the reception of tenders as the case may be ;

(c) No lot offered for sale shall comprise shares or stock of greater nominal value than one hundred pounds ;

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(d) In the case of a sale by tender no preference shall be given to one of two or more persons tendering the same sum. In the case of a sale by auction a bid shall not be recognised unless it is in advance of the last preceding bid;

(e) It shall be one of the conditions of sale that the total sum payable by the purchaser shall be paid to the Company within three months after the date of the auction or of the acceptance of the tender as the case may be.

(3) Any shares or stock which have been so offered for sale and are not sold may be offered at the reserve price to the holders of ordinary and preference shares or stock of the Company in accordance with the provisions of sections 18 19 and 20 of the Companies Clauses Act 1863 and to the employees of the Company and to the consumers of gas or electricity supplied by the Company in such proportions as the Company may think fit or to one or more of these classes of persons only. Provided in the case of an offer to holders of shares or stock that if the aggregate amount of shares or stock applied for shall exceed the aggregate amount so offered as aforesaid the same shall be allotted to and distributed amongst the applicants as nearly as may be in proportion to the amounts applied for by them respectively.

(4) Any shares or stock which have been offered for sale in accordance with subsection (2) or with subsections (2) and (3) of this section and are not sold may be disposed of for the purpose of realising the best price obtainable at such price and in such manner as the directors may determine.

(5) As soon as possible after the conclusion of the sale or sales the Company shall send a report to the Board of Trade stating the total amount of the respective shares or stock sold the total amount obtained as premium (if any) and the highest and lowest prices obtained for the respective shares or stock.

(6) Section 15 of the Act of 1918 is hereby repealed.

Power to offer new shares or stock for subscription and to pay commission.

21.—(1) Notwithstanding anything contained in the section of this Act of which the marginal note is "New shares or stock to be sold by auction or tender" the Company may with the approval of the Board of Trade and subject to such conditions as the Board of Trade may

think fit to impose offer for subscription by the public any shares or stock created under the powers of this Act and upon any such offer pay a commission not exceeding five per centum to any person in consideration of his subscribing or agreeing to subscribe (whether absolutely or conditionally) for any shares or stock or procuring or agreeing to procure subscriptions (whether absolute or conditional) for any shares or stock. Provided that the payment of the commission and the amount or rate per centum of the commission paid or agreed to be paid shall be disclosed in every prospectus advertisement or other document of the Company relating to the offer for sale of such shares or stock.

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(2) Nothing in this section shall affect any power of the Company to pay brokerage.

22. Section 2 of the Gas Undertakings Act 1929 shall apply to the Company as if the undertaking were an undertaking as defined by section 9 of that Act.

Application
of section 2 of
Gas Under-
takings Act
1929.

23. Notwithstanding anything contained in Part III of the Companies Clauses Act 1863 the interest of all debenture stock created and issued under the Gas Undertakings Act 1929 and of all mortgages at any time after the passing of this Act granted by the Company under any previous Act or this Act or any subsequent Act or Order shall subject to the provisions of any subsequent Act or Order rank *pari passu* (without respect to the dates of the securities or of the Acts of Parliament or Orders or resolutions by which the stock and mortgages were authorised) and shall have priority over all principal moneys secured by such mortgages. Notice of the effect of this enactment shall be endorsed on all mortgages and certificates of debenture stock.

Priority of
interest on
debenture
stock and
mortgages.

24. All money raised or to be raised by the Company on mortgage under the provisions of any former Act relating to the Company or under this Act and all money hereafter raised on debenture stock under the Gas Undertakings Act 1929 shall have priority against the Company and the property from time to time of the Company over all other claims on account of any debts incurred or engagements entered into by them after the passing of this Act. Provided always that this priority shall not affect any claim against the Company or their property in respect of any rentcharge granted or to be granted by

Priority of
mortgages
and debenture
stock
over other
debts.

A.D. 1930. — them in pursuance of the Lands Clauses Acts or in respect of any rent or sum reserved by or payable under any lease granted or made to the Company which is entitled to rank in priority to or *pari passu* with the interest on their mortgages or debenture stock.

Priority of principal moneys secured by existing mortgages.

25. The principal moneys secured by all mortgages granted by the Company in pursuance of the powers of any Act of Parliament before the passing of this Act and subsisting at the passing hereof shall during the continuance of such mortgages have priority over the principal moneys secured by any mortgages granted by virtue of this Act.

Application of moneys.

26. All moneys raised under this Act including premiums shall be applied only to purposes to which capital is properly applicable and any sum of money which may arise by way of premiums from the issue of shares or stock under the provisions of this Act shall not be considered as part of the capital of the Company entitled to dividend.

Appointment of receiver.

27. Section 20 (Arrears may be enforced by appointment of a receiver) of the Act of 1918 is hereby repealed and the mortgagees of the undertaking may enforce payment of arrears of interest or principal or principal and interest due on their mortgages by the appointment of a receiver and in order to authorise the appointment of a receiver in respect of arrears of principal the amount owing to the mortgagees by whom the application for a receiver is made shall not be less than one-tenth of the amount for the time being borrowed by the Company.

Reserve fund.

28. Where in any year the dividend payable on the ordinary capital of the Company shall exceed the standard rate by reason of the price charged by the Company for gas in such year being below the standard price then out of the amount of the divisible profits of the Company applicable to the payment of such excess of dividend the Company may in such year set apart such sum as they shall think fit and all sums (if any) so set apart by the Company and any reserve fund of the Company existing at the passing of this Act may be invested in any securities in which trustees are authorised by law to invest money or in such other manner as shall be authorised by a resolution of the Company and the dividends and interest arising from such securities may also be invested in the

same or the like securities in order that the same may accumulate at compound interest and the fund so formed shall be called "the reserve fund" and shall be applicable to the payment of dividend in any year in which the clear profits of the Company shall be insufficient to enable the Company in such year to pay the dividend at the authorised rate on the ordinary capital of the Company and save as in this Act provided no sum shall in any year be carried by the Company to any reserve fund.

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29.—(1) The directors may if they think fit in any year appropriate out of the revenue of the Company as part of the expenditure on revenue account any sum not exceeding an amount equal to one per centum of the aggregate amount of the paid-up share capital of the Company including premiums (after deducting therefrom the sum of twelve thousand five hundred pounds) and any outstanding loans raised by the Company on mortgage or by the creation and issue of debenture stock to a fund to be called "the special purposes fund" Provided that the said fund may be maintained at the amount to which it has lawfully been raised notwithstanding any subsequent reduction in the amount of outstanding loans.

Special
purposes
fund.

(2) The special purposes fund shall be applicable only to meet such charges as an accountant appointed for the purpose by the Board of Trade shall approve as being—

(a) Expenses incurred by reason of accidents strikes or circumstances which due care and management could not have prevented; or

(b) Expenses incurred in the replacement or removal of plant or works other than expenses requisite for maintenance and renewal of plant and works.

(3) The maximum amount standing to the credit of the special purposes fund shall not at any time exceed an amount equal to one-tenth part of the aggregate amount of the paid-up share capital of the Company including premiums and any outstanding loans raised by the Company on mortgage or by the creation and issue of debenture stock after deducting therefrom the sum of twelve thousand five hundred pounds.

(4) The moneys forming the special purposes fund or any portion thereof may be invested in securities in which trustees are authorised by law to invest or may

A.D. 1930. — be applied for the general purposes of the Company to which capital is properly applicable or may be used partly in the one way and partly in the other.

(5) Resort may from time to time be had to the special purposes fund notwithstanding that the sum standing to the credit of the fund is for the time being less than the maximum allowed by this section.

Renewal
fund.

30. Subsection (1) of section 34 (Renewal fund) of the Act of 1906 shall after the prescribed date be read and have effect as if the words “after deducting from such paid-up capital the sum of seven thousand eight hundred pounds in the case of the gas undertaking and the sum of four thousand seven hundred pounds in the case of the electricity undertaking” were inserted therein after the words “applied to such undertakings respectively” and subsection (2) of the said section shall be read and have effect as if the words “after deducting therefrom the sum of twelve thousand five hundred pounds” were inserted at the end thereof.

Special
provision
for benefit
of small
investors.

31. Anything in the Acts relating to the Company notwithstanding the directors may with the consent of the shareholders reserve a proportion (hereinafter in this Act called “small investors shares”) not exceeding one-fourth of each future issue of capital for exclusive offer in the first instance to consumers within the limits of supply and to employees of the Company upon such terms and conditions as to payment therefor and the payment of dividends thereon until the same become fully paid as the directors may prescribe :

Provided that every allotment of shares or stock under this section shall be at a price not less than—

- (a) the reserve price at which the other shares or stock of the same issue shall be offered; or
- (b) the average price of recent sales of other shares or stock of the same class as recorded in the books of the Company;

whichever may be the greater.

The Company shall not be required to comply with section 40 of the Companies Clauses Consolidation Act 1845 as a condition precedent to borrowing in respect of any capital allotted under this section.

32. The Company may subject to the conditions hereinafter in this section prescribed with the authority of three-fourths of the votes of the shareholders present in person or by proxy at a general meeting of the Company specially convened for the purpose—

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Power to
subscribe
towards
capital of
other
companies.

- (a) Subscribe towards the capital of any other company and the Company may take and hold shares or stock in the capital of such other company in respect of such subscription;
- (b) Guarantee or join with others in guaranteeing the payment of interest or dividends or other annual payments on any shares stock or loan of any other company;
- (c) Lend money to any such other company on mortgage of their undertaking:

Provided that no sum shall be subscribed guaranteed or lent under this section except only to an amount approved by the Board of Trade or the Electricity Commissioners as the case may be (which approval the said Board or Commissioners are hereby empowered to give) but the Board or Commissioners before giving such approval shall satisfy themselves that such subscription guarantee or loan would conduce to the development of the output of gas or electricity by the Company or the turning to the best account the residuals and resources generally of the Company:

Provided further that any capital appropriated for the purpose of any subscription guarantee or loan under this section shall be within the limit of the total amount of authorised capital for the time being of the Company.

PART IV.

ELECTRICITY.

33.—(1) Subject to the provisions of this Act the area within which the Company may supply electricity for all public and private purposes shall extend to and include in addition to the existing area of supply the following area (hereinafter referred to as “the added area”) (that is to say):—

Extension
of area for
supply of
electricity.

So much of the extreme south-eastern portion of the urban district of Paignton in the county of Devon as is known as “Broad Sands” and lies

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between the Torquay branch of the Great Western Railway on the west and north-west the sea on the east and the point where the said railway and the coast-line converge on the north;

and the Company may within the added area exercise the powers rights privileges and authorities and shall be subject to the duties and obligations which they have may exercise and are subject to within the existing area of supply.

(2) Within three months after the passing of this Act the Company shall deposit at the office of the Electricity Commissioners an Ordnance map on a scale of not less than one inch to the mile with the added area marked thereon.

Revocation of powers of Paignton Electric Light and Power Company Limited to supply electricity in added area.

34. The powers of the Paignton Electric Light and Power Company Limited under the Paignton Electric Lighting Order 1907 of supplying electricity within the added area are hereby revoked.

PART V.

MISCELLANEOUS.

Notice of candidature or of opposition to re-election of director.

35.—(1) Except in the case of a director retiring by rotation and offering himself or being proposed for re-election or except in the case of a director being elected by the board of directors to fill a casual vacancy no person shall be capable of being elected a director of the Company unless notice in writing that such person intends to offer himself or will be proposed for the office of director shall have been given to the secretary of the Company or left at the office of the Company fourteen days at least before the day of election and the secretary of the Company shall during such fourteen days and on the day of election fix a copy of every such notice so delivered in some conspicuous place in such office.

(2) In the case of a retiring director or directors notice of opposition to his or their re-election shall be given in like manner.

As to appointment of

36.—(1) The directors may appoint one of their body to be managing director of the Company either for a fixed term or without any limitation as to time and may

remove or dismiss him from office and appoint another in his place. A.D. 1930.

(2) A managing director shall not while holding that office be subject to retirement by rotation and shall not be taken into account in determining the rotation of retirement of directors but if he cease to hold the office of director from any other cause he shall ipso facto immediately cease to be a managing director. managing director

(3) The remuneration of a managing director shall from time to time be fixed by the directors and may be by way of salary or commission or participation in profits or by any or all of those modes.

(4) The directors may entrust to and confer upon any managing director such of the powers exerciseable by the directors and subject to such conditions as they may think fit and may from time to time revoke withdraw alter or vary all or some of such powers.

37. Notwithstanding anything in the Companies Clauses Consolidation Act 1845 no person shall be disqualified from being a director of the Company by reason of his holding any office or place of trust or profit under the Company or by reason of his being interested in any contract with the Company nor shall any director be required to cease from voting or acting as a director by reason of his accepting any such office or place of trust or profit or becoming interested in any such contract Provided that in the case of his being or becoming interested in any contract with the Company whether such interest shall arise before or after his appointment as a director the nature of his interest in the contract shall be disclosed by him at the meeting of the directors at which the contract is determined on if his interest then exist or in any other case at the first meeting of the directors after the acquisition of his interest or after his appointment and that no such director shall as a director vote in respect of any such contract and if he do so vote his vote shall not be counted but this prohibition shall not apply to any contract by or on behalf of the Company to give to the directors or any of them any security by way of indemnity. Directors holding office under or contracting with Company.

38. In addition to the powers which the directors may exercise under the Companies Clauses Acts 1845 to 1889 they may determine the remuneration of the secretary of the Company. Remuneration of secretary

A.D. 1930.

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Auditors.

39.—(1) The auditors of the Company shall be members of the Institute of Chartered Accountants or the Society of Incorporated Accountants and Auditors or accountants approved by the Board of Trade and need not be the holders of any shares or stock in the capital of the Company.

(2) Nothing in this section shall be deemed to prevent any person who on the passing of this Act is an auditor of the Company continuing to act as such auditor.

Supply of
gas where
consumer
has a
separate
supply.

40. Notwithstanding anything contained in the Gasworks Clauses Act 1871 or any other Act a person shall not be entitled to demand or continue to receive for the purposes of a stand-by supply only from the Company a supply of gas for any premises having a separate supply of gas or a supply (in use or ready for use for the purposes for which the stand-by supply of gas is required) of electricity steam or other form of energy unless he has agreed to pay to the Company such minimum annual sum as will give to them a reasonable return on the capital expenditure incurred by them in providing such stand-by supply and will cover other standing charges incurred by them in order to meet the possible maximum demand for those premises and the sum so to be paid shall be determined in default of agreement by arbitration in manner provided by the Arbitration Act 1889.

Charge for
gas supplied
by means of
prepayment
meters.

41.—(1) The Company may demand for any gas supplied through a prepayment meter a not greater charge than for gas supplied to private consumers within the limits of supply through any other kind of meter or by any other method of supply.

(2) The charge for the hire of any prepayment meter and fittings to be used therewith shall be a sum of money calculated according to the number of therms supplied and the maximum charge shall be two decimal four pence per therm if a cooking stove is included and two pence per therm if a cooking stove is not included.

(3) The charge for the hire of any prepayment meter without fittings shall be a sum of money calculated according to the number of therms supplied (when the maximum rate of charge shall be one decimal

two pence per therm) or at the rate of ten per centum per annum on the cost of the meter whichever shall be the higher. A.D. 1930.

(4) The said charges shall include the providing letting fixing repairing and maintenance of the meters and fittings or of the meters (as the case may be) and the cost of collection and other costs incurred by the Company in connection therewith.

(5) For the purpose of this section the expression "prepayment meter" means any meter or appliance by which the quantity of gas supplied is regulated according to the amount of money prepaid therefor.

42. The Company may contract with any local authority company or persons for the supply by the Company to them or for the supply to the Company by them of gas or electricity in bulk upon such terms and conditions as may be agreed upon and for those purposes may exercise the powers by this Act conferred upon them with respect to the breaking up of streets for the purposes of laying gas pipes and electric lines respectively :

Company may contract for supply and purchase in bulk.

Provided that the Company shall not under the provisions of this section enter into any contract for the supply of electricity with any local authority company or person who is not authorised to supply electricity within an area of supply nor without the approval of the Electricity Commissioners first had and obtained :

Provided also that the Company shall not supply gas or electricity under any such contract beyond the limits of supply if and so long as such supply would interfere with the supply of gas or electricity within those limits :

Provided also that the Company shall not under the provisions of this section break up any street belonging to or maintained by the Great Western Railway Company without the consent in writing of that company first had and obtained.

43.—(1) Section 34 (Insurance fund) section 36 (Reserve fund) and section 69 (Company may contract with local authority &c. for supply in bulk) of the Act of 1904 and section 29 (Charge for gas to premises having a supply of electricity or gas) of the Act of 1918 are hereby repealed. Repeals.

[Ch. clxv.] *Brixham Gas and* [20 & 21 GEO. 5.]
Electricity Act, 1930.

A.D. 1930. (2) On and after the prescribed date the following provisions of the Acts of 1904 1906 and 1918 and the Brixham Gas (Charges) Order 1922 shall be repealed:—

The Act of 1904—

Section 31 (Profits of company limited);

Section 32 (Dividends on different classes of ordinary capital to be paid proportionately);

Section 55 (Dividend dependent on price charged).

The Act of 1906—

Section 25 (As to dividends on additional capital).

The Act of 1918—

Section 14 (Profits of company limited).

The Brixham Gas (Charges) Order 1922—

Section 4 (Modification of sliding scale).

Costs of
Act.

44. All the costs charges and expenses of and incident to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company and may in whole or in part be defrayed out of revenue.

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